

fantastic. If there is a disagreement about something that is to be built into our investment decision-making process, then the three chief investment officers would have to concur [Dalio, and co-CIOs Bob Prince and Greg Jensen]. By and large, we will almost always reach an agreement. If we didn't reach an agreement, we wouldn't make any change.

Does that imply that every time you take a position in the markets, all the key people have agreed on that position?

No. Our decision-making process is to determine the criteria by which we make decisions in the market. Those criteria—I call them principles—are systematized. These principles determine what we do under different circumstances. In other words, we make decisions about the criteria we use to make decisions. We don't make decisions about individual positions.

For any trading strategy, we can look back at when it won, when it lost, and under what circumstances. Each strategy develops a track record that we deeply understand and then combine in a portfolio of diversified strategies. If a strategy is not performing in real time as expected, we can reevaluate it, and if we agree it is desirable, we might modify our systems. We have been doing this for 36 years. Over the years, we develop new understandings, which we continually add to our existing understandings.

You have had only two drawdowns worse than 12 percent in 20 years with the worst being 20 percent. How have you managed to keep your drawdowns so controlled using a directional strategy?

There are two parts to the answer. First, as we discussed earlier, we balance risk across multiple independent drivers. We avoid having too much of the portfolio concentrated in any single driver. Second, we have stress-tested our strategies through multiple time frames and multiple scenarios.

I think many people experience drawdowns that are much larger than they expected because they never really understood how their strategy would have worked in different environments. There are managers who have been in the business for five years and think, *I have a great track*